

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**RESPONSE OF RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY
TO COMPLAINANT’S “SUBMISSION OF DISPUTES
CONCERNING SCOPE OF INITIAL REQUEST FOR PRODUCTION”**

Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) hereby responds to the Complainant MSC Industries’ “Submission of Disputes Concerning Scope of Initial RFPs” (“Compl. Rep.”), submitted to Your Honor on October 8, 2021. As an initial matter, the filing does not actually submit any dispute or request any action. Instead it provides correspondence memorializing ongoing discussions between the parties to which Complainant has requested a response by October 13, 2021, along with Complainant’s characterization of that correspondence. Complainant could have chosen to simply advise Your Honor, as MSC proposed, that discussions were continuing, but has instead filed argumentative material that MSC believes requires a response.

Complainant’s submission makes clear that this is essentially a breach of contract action. *See* Compl. Rep. at 2 (stating that its Complaint “alleges a course of conduct in which Mediterranean Shipping failed to provide this contractually agreed-upon space for MCS Industries cargo on Mediterranean Shipping’s ships, in violation of the Shipping Act.”). Indeed, Count II of MSC’s complaint alleges a pure breach of contract, namely an alleged “provision of service in the liner trade not in accordance with the rules and practices contained in its respective service contract with MCS.” Of course, the Commission has no jurisdiction over breach of contract claims under the Shipping Act, which

provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” 46 C.F.R. § 40502(f).

This alleged breach of MSC’s contractual obligations comes in a current environment of unprecedented dislocations in international ocean shipping caused by substantial increases in demand at the same time that unprecedented port congestion and resulting vessel delays have effectively limited available vessel capacity and created substantial operational difficulties for carriers. In an effort to avoid the jurisdictional bar against breach of contract claims, however, the Complaint does not acknowledge these widely known facts, but instead alleges that the purported breach of contract constitutes:

- an unreasonable practice of refusing to perform a service contract (Count I), supposedly so that Complainant is forced to procure space on the spot market and MSC can resell its space on the spot market, even though MSC had no obligation to enter into a service contract with Complainant to start with, and if it did harbor such a scheme to force spot market carriage it could either have declined to enter a service contract with Complainant or terminated the existing service contract with “three (3) months written notice of termination at any time during its Term,” as provided by the contract itself;
- discrimination against Complainant and in favor of other shippers (Counts III and IV), even though at the same time the Complaint alleges “[u]pon information and belief,” that MSC and COSCO “have, engaged, and are continuing to engage, in substantially *similar* conduct with respect to other shippers” (and supposedly colluded to do so), Compl. P 12 (emphasis added), and even though under 46 U.S.C. §§ 41104(5) and (9), such discrimination is prohibited only with respect to ports and not with respect to shippers (confidential service contracts could not exist otherwise); and
- an alleged refusal to deal (Count V), even though MSC entered into a service contract with Complainant, and neither MSC nor any other carrier is obliged to do so, and even though Complainant concedes that issues were isolated to select ports of loading and that MSC fully

performed under the same service contract for cargo booked from other ports during the same period.

Building its effort to turn its breach of contract claim into something it is not, the Complaint makes a series of assertions that are entirely unsupported by any factual allegations or plausible inferences, and instead rely no less than seventeen times on “information and belief” assertions. *See* Compl. ¶¶ 2, 3, 11, 12, 15, 16, 18, 20, 21, 32, 36, 38, 43, 46. These include allegations that MSC and COSCO, the other carrier with which Complainant had a service contract, “have changed their practices in parallel and seemingly coordinated fashion” (¶ 11), “have unjustly and unreasonably obliterated the previously stable and well-established structure of the global ocean freight industry” (¶ 13), and have organized into collusive “alliances” that “collectively control over 90 percent of all transpacific trade,” (¶16), which “give Respondents venue and opportunity to coordinate discriminatory practices such as those alleged herein.” (¶ 17). The last allegation is particularly reckless because the alliances referred to are authorized and carefully overseen by the Commission itself, and because MSC and COSCO are not in the same alliance, and have no Commission filed agreement with each other of any kind.

MSC’s supposition has been that Complainant has filed this broad and unsupported complaint not in the belief that its allegations could be proven (as noted above many are highly implausible on their face), but in order to obtain business concessions it was not entitled to under the contract. This supposition was strengthened when the Complainant widely publicized the complaint. This publicity included provocative references to alleged collusion, market power, profiteering, and other allegations sounding in competition law that Complainant had no evidence of, but had simply alleged on information and belief, and that its counsel now walks away from in the correspondence he has shared with Your Honor. *See* Exh. 3, at 1. It was further strengthened by MSC’s initial investigation of MSC’s contractual allegations, which MSC believes have no basis, and by Complainant’s counsel’s failure, despite repeated requests, to provide any basis for the assertion that MSC was refusing to carry cargo that had been properly booked and tendered.

Where then, does that leave us now? Complainant believes that it is entitled to discovery on any matter it has alleged in its complaint, no matter how unsupported, speculative, or vague. This wide-ranging discovery, which already extends over 40 separate RFPs and 20 interrogatories, seeks among other things every document in MSC's possession that mentions the Complainant, voluminous information on MSC's confidential dealings with other shippers (presumably in support of Complainant's legally insufficient discrimination claims), data on every sailing MSC made in the date range, and even highly sensitive financial and ownership information from MSC, as a private company MSC does not disclose such information publicly.

Complainant has taken the position that because MSC did not file a motion to dismiss these claims under a notice pleading standard it cannot now object to irrelevant, duplicative and harassing discovery however tenuously related to otherwise unsupported claims. MSC disagrees.

MSC has proposed instead a staged, proportionate discovery to narrow the issues and limit the time and expense of discovery. Discussion and correspondence between the parties confirm that the primary focus of this case is Complainant's ability to secure carriage for MCS cargo out of the Qingdao and Tianjin ports for the three-month period from May 2021 through July 2021. Both parties agree that MSC fully complied with MCS's interpretation of the service contract in carrying all MCS cargo out of the Fuzhou port for the same date range. Accordingly, MSC proposed to focus the discovery on what happened with respect to bookings and attempted bookings in Qingdao and Tianjin ports between May and July 2021. Specifically, MSC proposed that Complainant identify the specific requests for bookings that it alleges it timely and properly made under the contract, and the parties would then exchange all of the available information they have on these transactions. MSC suggested that an initial production could be limited to those representative examples of requests that Complainant believed constituted its strongest case, so that production of that material could be prioritized. Despite Complainant's protestation that this proposal would delay discovery in the case, which is still in its early stages with discovery requests having been served only two weeks ago, Complainant was able to provide information on selective bookings

within two days of the parties' meet and confer, and MSC plans to gather and produce responsive material as quickly as possible. MSC continues to believe that this approach, far from delaying discovery, will materially advance it, and that it has the potential to reduce the scope of the disputes between the parties and any need for Your Honor's intervention. And if analysis of these transactions discloses that MSC acted reasonably under the contract, the rest of the Complaint falls away.

MSC is hopeful that the parties will be able to reach agreement in their continued discussions. If they do not, MSC will consider filing its own motion to limit the scope of the initial production to those matters directly related to the allegation that MSC "failed to provide . . . contractually agreed-upon space," and deferring consideration of the other items Complainant alleges are relevant to its claims based on that alleged failure.

We appreciate Your Honor's consideration.

Respectfully submitted,

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October 12, 2021

CERTIFICATE OF SERVICE

I certify that, on October 12, 2021, a true and current copy of the foregoing was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

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